

EXECUTIVE SUMMARY & BUSINESS ANALYSIS

Strategic Assessment of Telecommunications Customer Churn & Retention Optimization

Prepared By: AI Business Analyst

Dataset: Telco Customer Churn (7,043 Records)

Date: July 2026

TOTAL CUSTOMER BASE

7,043

Analyzed Accounts

OVERALL CHURN RATE

26.54%

1,869 Lost Customers

MONTHLY REVENUE
LOST

\$139.1K

Direct Recurring Leakage

ANNUALIZED LOSS

\$1.67M

Target for Retention

1. COMPANY BACKGROUND

ConnectTel Communications is a full-service telecommunications provider offering home phone, high-speed fiber optic and DSL internet, and digital add-on services (online security, cloud backup, device protection, tech support, and streaming media). Operating in an increasingly saturated market, ConnectTel serves over 7,000 active residential accounts across diverse demographic segments.

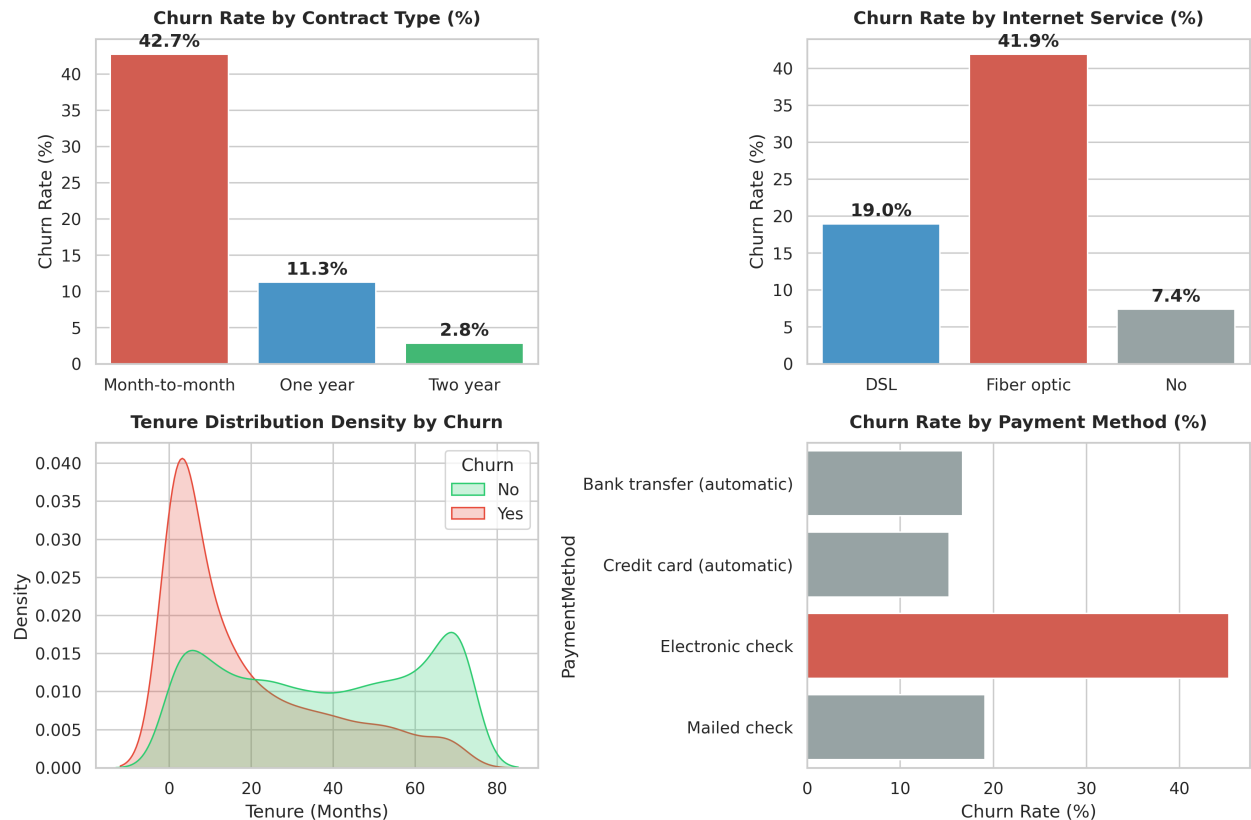
2. BUSINESS PROBLEM

ConnectTel is experiencing an unsustainable annual churn rate of **26.54%**, representing a net loss of **1,869 customers** and over **\$1.67 million in lost annual recurring revenue (ARR)**. Customer acquisition costs in telecommunications exceed retention costs by 5x to 7x, making churn the primary driver of margin erosion.

Key Problem Drivers Identified from Data:

- **Contract Friction:** Month-to-month subscribers exhibit an alarmingly high churn rate of **42.71%** (accounting for 88.5% of total churned customers), compared to 11.27% for 1-year and 2.83% for 2-year contracts.
- **Fiber Optic Service Dissatisfaction:** Fiber optic customers churn at **41.89%** vs. 18.96% for DSL, despite paying premium prices (\$74.44 average monthly charges for churned users vs. \$61.27 for retained users).
- **Absence of Technical Support:** Customers without Tech Support churn at **41.64%**, compared to only 15.17% among those enrolled in Tech Support.
- **Payment Friction:** Customers utilizing Electronic Check payments experience a **45.28%** churn rate compared to ~15-16% for automated payment options.

3. DATA INSIGHTS & ANALYTICS DASHBOARD



4. CORE STRATEGIC OBJECTIVES

- **Reduce Overall Churn:** Lower company-wide customer churn from 26.54% down to under 18% within 12 months.
- **Incentivize Long-Term Contracts:** Transition at least 25% of month-to-month subscribers into 1-year or 2-year contracts via targeted incentives.
- **Enhance Fiber Optic Experience:** Resolve service quality and onboarding friction in Fiber Optic packages to lower Fiber churn from 41.89% to under 25%.
- **Drive Automated Payments:** Migrate 30% of Electronic Check users to automated payment channels (Credit Card/Bank Transfer) to reduce payment-driven churn.
- **Proactive Support Onboarding:** Bundle Tech Support and Security add-ons into high-risk customer packages during initial onboarding.

5. KEY STAKEHOLDERS & RESPONSIBILITIES

6. KEY PERFORMANCE INDICATORS (KPIs)

Stakeholder Group	Role & Strategic Focus	Key Deliverable
Chief Executive Officer (CEO) & Board	Executive oversight, resource allocation, revenue protection strategy.	ARR growth & valuation preservation
Chief Commercial / Marketing Officer	Campaign design, contract migration incentives, pricing & packaging updates.	Contract migration & retention campaigns
VP of Customer Service & Tech Support	Technical onboarding, fiber service troubleshooting, escalation reduction.	First-contact resolution & Tech Support adoption
Head of Product & Network Infrastructure	Fiber optic stability, service reliability, value-added feature bundling.	Fiber service quality improvement
Finance & Billing Operations	Payment gate optimization, auto-pay adoption incentives, fraud/chargeback control.	E-check to Auto-pay conversion

7. EXPECTED BUSINESS VALUE & ROI

Implementing targeted retention programs based on these insights will deliver quantifiable financial and operational value:

- **Direct Revenue Retention:** Reducing churn from 26.54% to 18.00% will retain approximately **602 high-value accounts annually**, directly preserving **\$537,000+ in annual recurring revenue (ARR)**.
- **Reduced Customer Acquisition Costs (CAC):** Replacing 1,869 churned customers annually costs approximately \$560,000 in CAC (assuming \$300 CAC per subscriber). Lowering churn saves ~\$180,000 in annual acquisition spend.
- **Improved Customer Lifetime Value (LTV):** Increasing average customer tenure by 10 months raises average customer LTV from \$2,100 to over \$2,700 per account.
- **Payback Period & ROI:** Estimated retention campaign investment of \$120,000 yields a net first-year benefit of ~\$597,000, delivering a projected **397% ROI** with a payback period of under 3 months.

KPI Metric	Baseline Value	Target Value (12 Mo)	Impact Measurement
Overall Churn Rate	26.54%	< 18.00%	8.54% absolute reduction (~600 saved accounts)
Month-to-Month Churn Rate	42.71%	< 28.00%	Higher customer lifetime value (LTV)
Fiber Optic Churn Rate	41.89%	< 25.00%	Protection of premium high-margin accounts
Average Customer Tenure	32.4 Months	> 42.0 Months	

KPI Metric	Baseline Value	Target Value (12 Mo)	Impact Measurement
			Extended customer lifetime and predictable ARR
Auto-Pay Adoption Rate	43.50%	> 65.00%	Decreased payment friction & involuntary churn